

The Future of Shopping

The agentic shift in e-commerce:
from discovery to purchase

 Microsoft Advertising



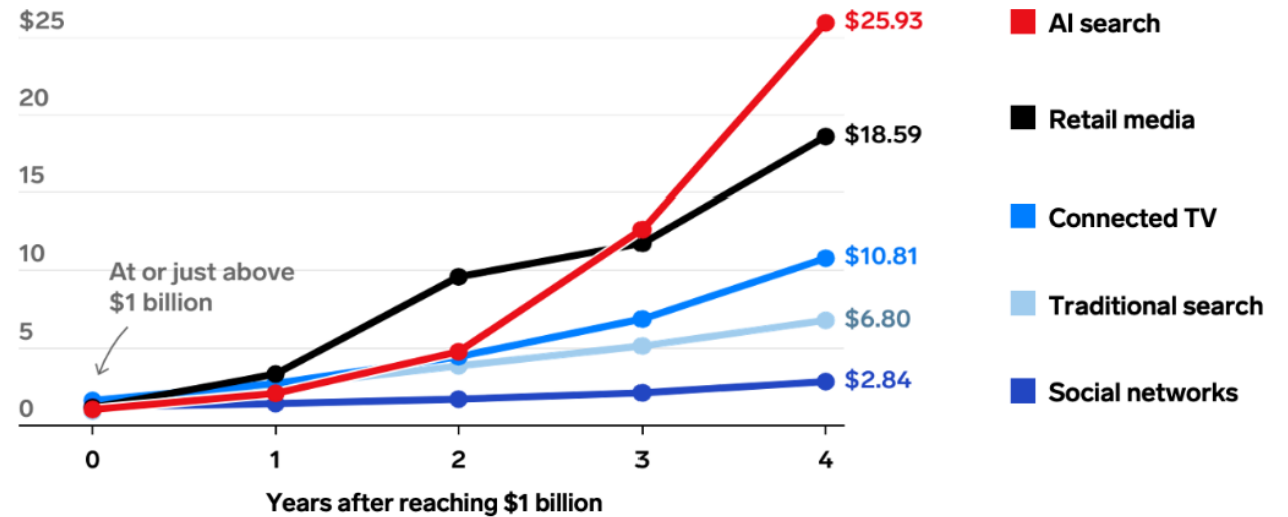
The next big shift in digital advertising: **AI Search**

By 2029, generative AI tools will be part of everyday life for over half of internet users¹.

Growth measured from the point each channel hit \$1B in US ad spend

AI search advertising is forecast to scale faster than previous waves of digital advertising

billions in US ad spending on major channels, years 0-4 after reaching \$1 billion



EMARKETER

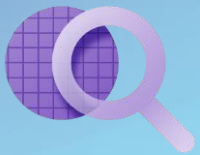
Source: EMARKETER Forecast, July 2025

¹eMarketer, June 2025

The big shift is here:

AI Search is driving Bing's growth

Bing share is growing in the US and worldwide, the only search engine gaining share.

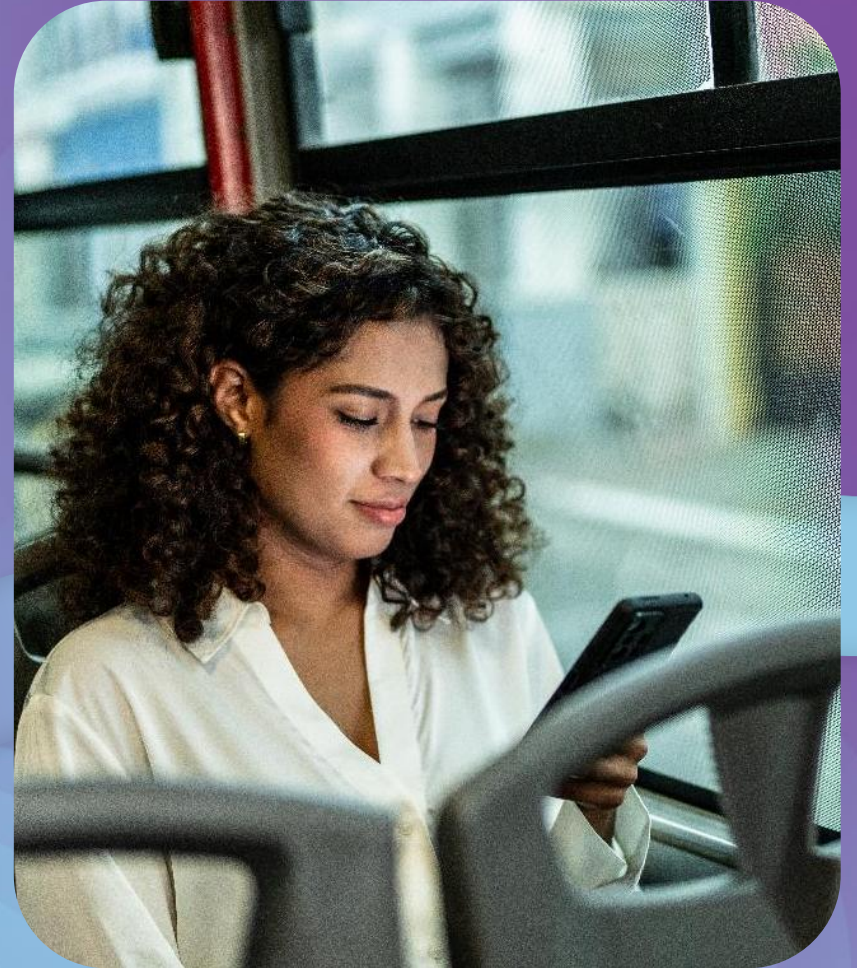


+2.1pts US PC

+3.4pts Worldwide PC

According to Comscore, Bing was the only engine to report lifts in US search share when comparing February 2023 to June 2025.

StatCounter reports even stronger gains when looking worldwide, with Bing up 3.4 percentage points.



THE FUTURE OF SHOPPING

800%

Year-on-year increase in AI-driven traffic to retailer websites.

Source: Reuters: AI helps drive record \$11.8 billion in Black Friday online spending



72%

of consumers expect agentic
AI-assisted shopping
experiences from retailers in
the next 12 months.

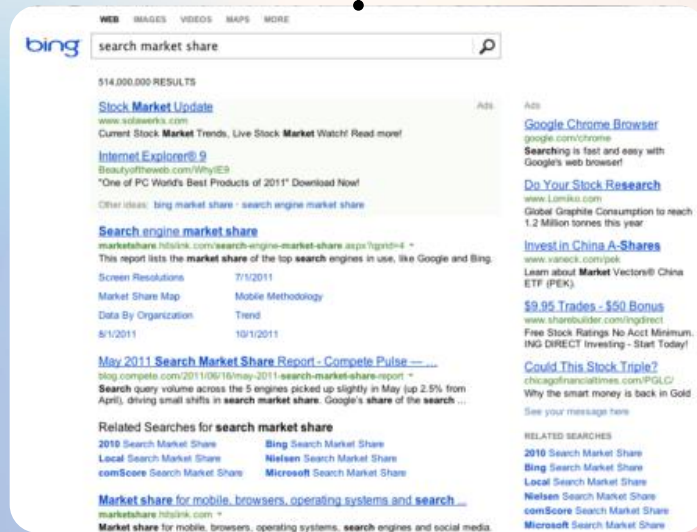
Source: Microsoft Research: Rebuilding the Web, September 2025



The new point of influence is upstream

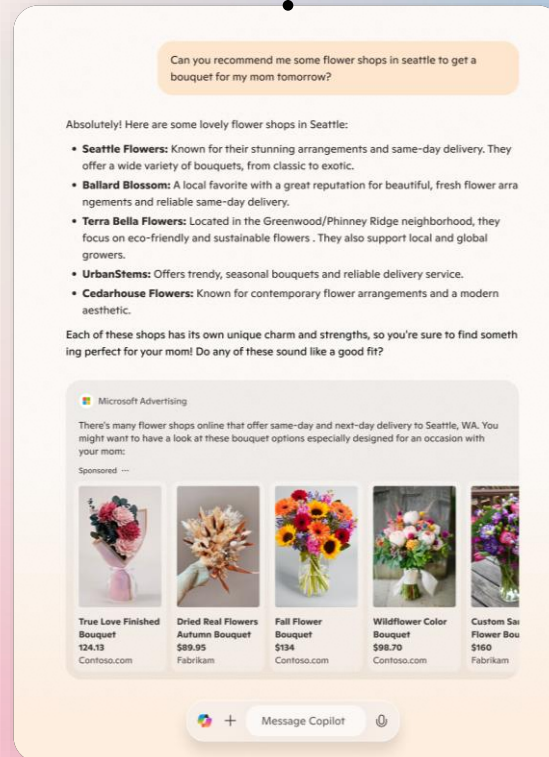
Past

Pages, feeds, links



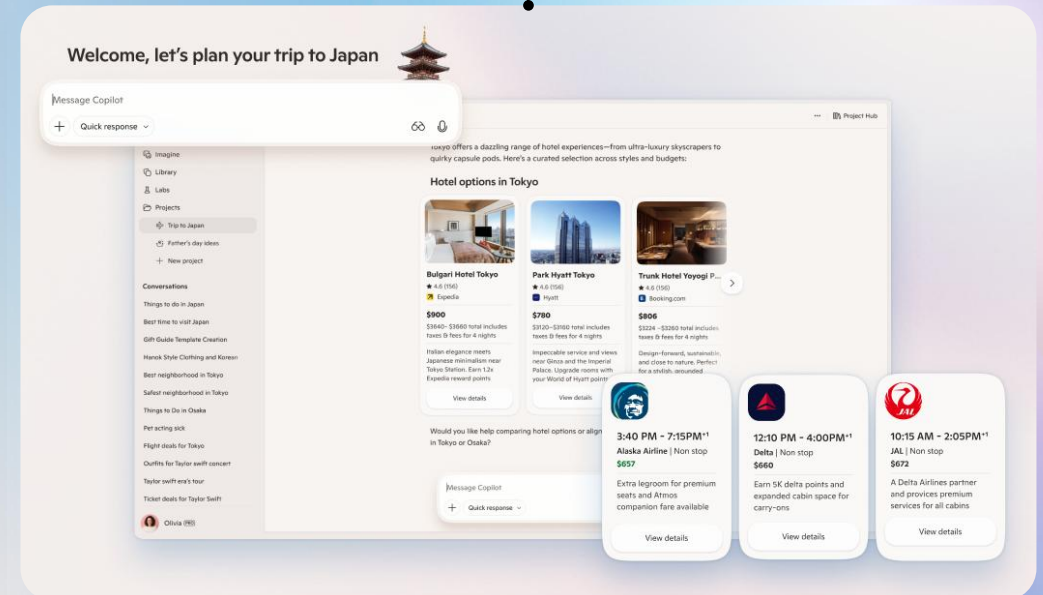
Present

Answers, conversations, Copilots



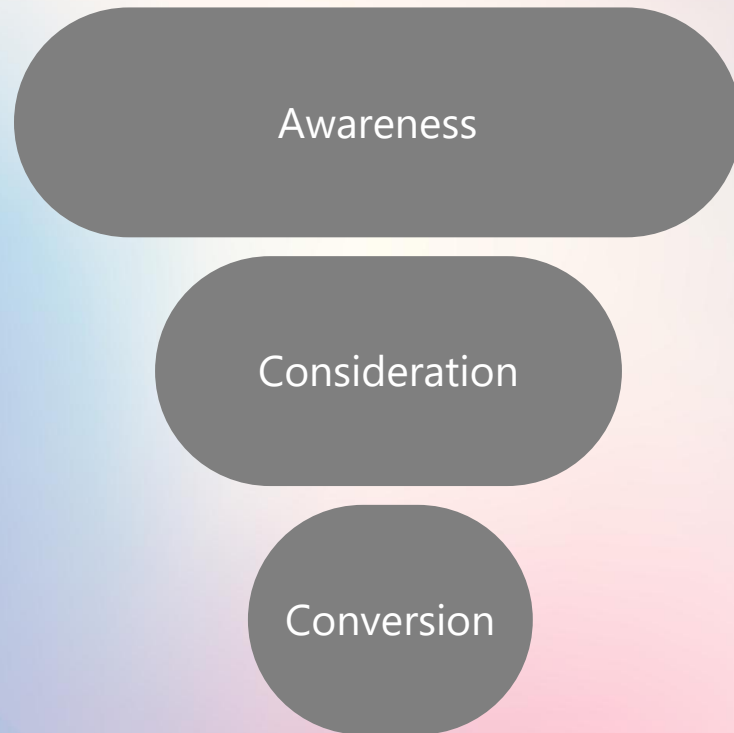
Next

Decisions, execution, outcomes

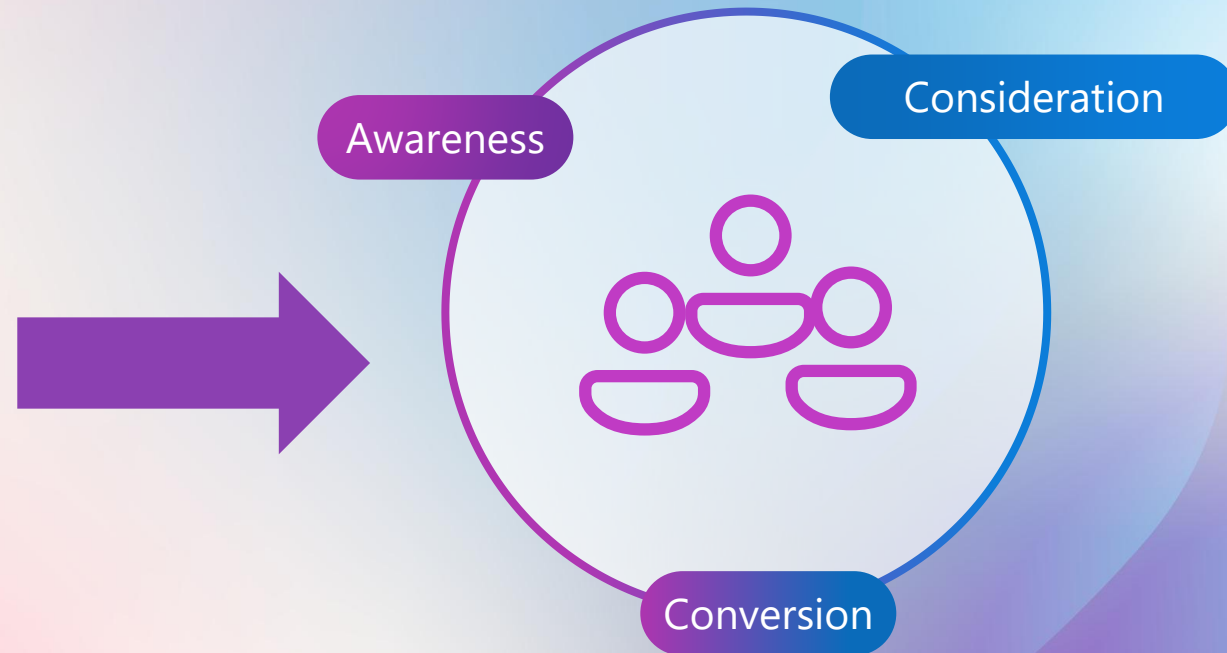


A faster path from intent to action

Traditional funnel



New AI experience



33% Shorter customer journeys

Making AI-assisted shopping real

Show Up When it Matters

- Generative Engine Optimization



Make brands and publishers visible, trusted, and citable inside AI answers

Showcase Your Voice

- Brand Agents



Let brands be part of the conversation and speak authentically to customers.

Close the Sale

- Copilot Checkout
- Ads in Copilot



Turn high-intent moments into outcomes, without breaking trust

Generative Engine Optimization

Before brands can be discovered in AI answers, they must be structured, trusted, and machine-readable.



Win discovery with GEO

If SEO focused on driving clicks, GEO helps establish credibility through authoritative voice.

GEO establishes your brand as a relevant, trusted shopping partner.

SEO



"Waterproof
rain jacket".

GEO



"Best-rated waterproof jacket by Outdoor magazine, no-hassle
returns allowed for 180 days, three year warranty, 4.8 star rating".

Win discovery with GEO

When a user asks for recommendations for a good rain jacket under \$200, Copilot breaks down the query in what we call the reasoning phase, using crawled web data and product feeds.

Crawled data provides:

General knowledge

—
"Patagonia and North Face make quality rain jackets."

Category understanding

—
"Rain jackets need good waterproof ratings. Hiking jackets need to be lightweight."

Your brand positioning

—
"Brand X is known for hiking equipment."

Feeds provide:

Current prices

—
"Your model is \$179, competitor is \$199."

Availability

—
"You have stock, competitor is backordered."

Key specs

—
"Waterproof rating above 1500mm, sealed seams, GORE-TEX, PU or PVC fabric."



Win discovery with GEO

1

Show up in AI recommendations, not just search results.



2

Build trust with ratings, policies, and citations.



3

Make your catalog machine-readable for **smarter discovery**.



4

Early adopters see **higher visibility** and conversion.

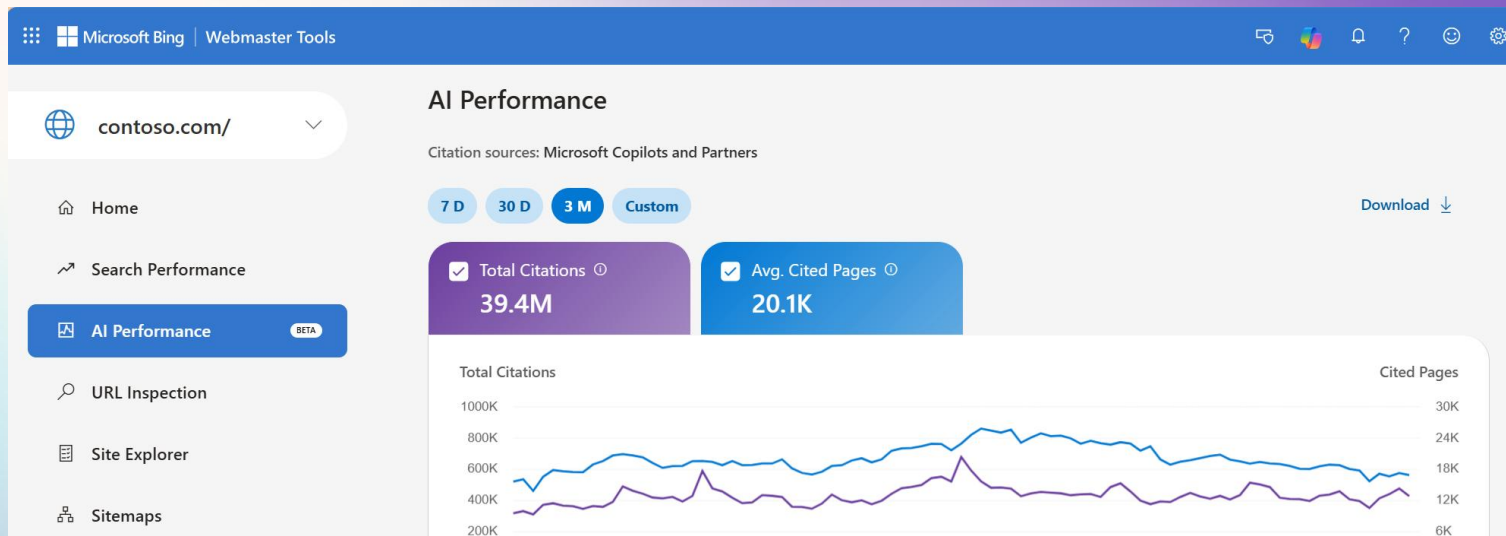


Our GEO Playbook



Download the for a step-by-step guide to merchant success

AI performance in Bing Webmaster Tools



Our first AI-visibility reporting for GEO



Total Citations

Shows the total number of citations that are displayed as sources in AI-generated answers during the selected time frame.



Average Cited Pages

Shows the average number of unique pages from your site that are displayed as sources in AI-generated answers.



Grounding queries

Shows the key phrases the AI used when retrieving content that was referenced in AI-generated answers.



Page-level citation activity

Shows citation counts for specific URLs from your site, to see which pages are most often referenced across AI-generated answers



Visibility trends over time

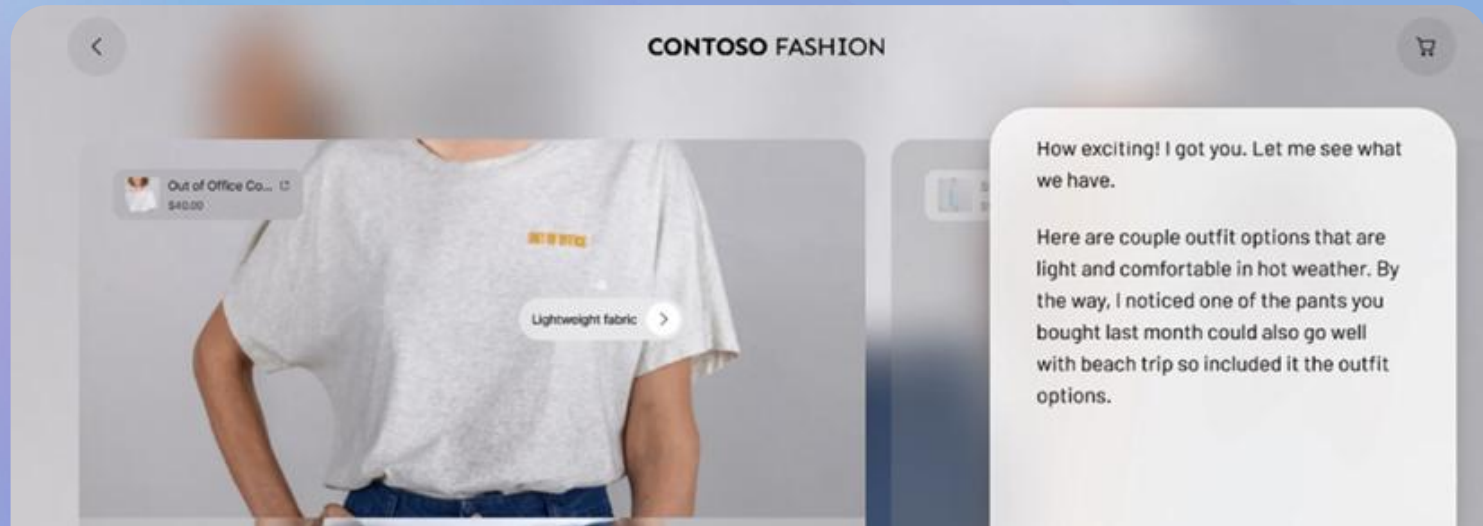
The timeline shows how citation activity for your site changes over time, making it easier to spot trends.

Brand Agents

Before brands can participate in AI conversations, they need a trusted, persistent voice that knows their products, speaks their language, and shows up with their expertise.



Brand Agents



Key benefits to customers



Natural conversations

Customers can ask questions naturally, like *"I'm looking for a gift for my mom."* The agent responds in your brand's voice and guides them through options.



Product comparison and guidance

It can compare products, answer questions about shipping or returns, and recommend the best fit—making decisions easier.

With access to purchase history, they can also assist with post-purchase scenarios such as suggesting complementary products for previous purchases.



Checkout assistance

When customers are ready, the agent helps complete the purchase by providing checkout links and answering last-minute questions.



Upselling and cross-selling

The agent suggests complementary products with prompts like *"You might also like..."* to help customers discover more options that fit their needs.

Quick Setup

Customize your agent

Edit the welcome message, upload your logo, choose colors and fonts, and define tone of voice so the agent reflects your brand identity.

Live Preview

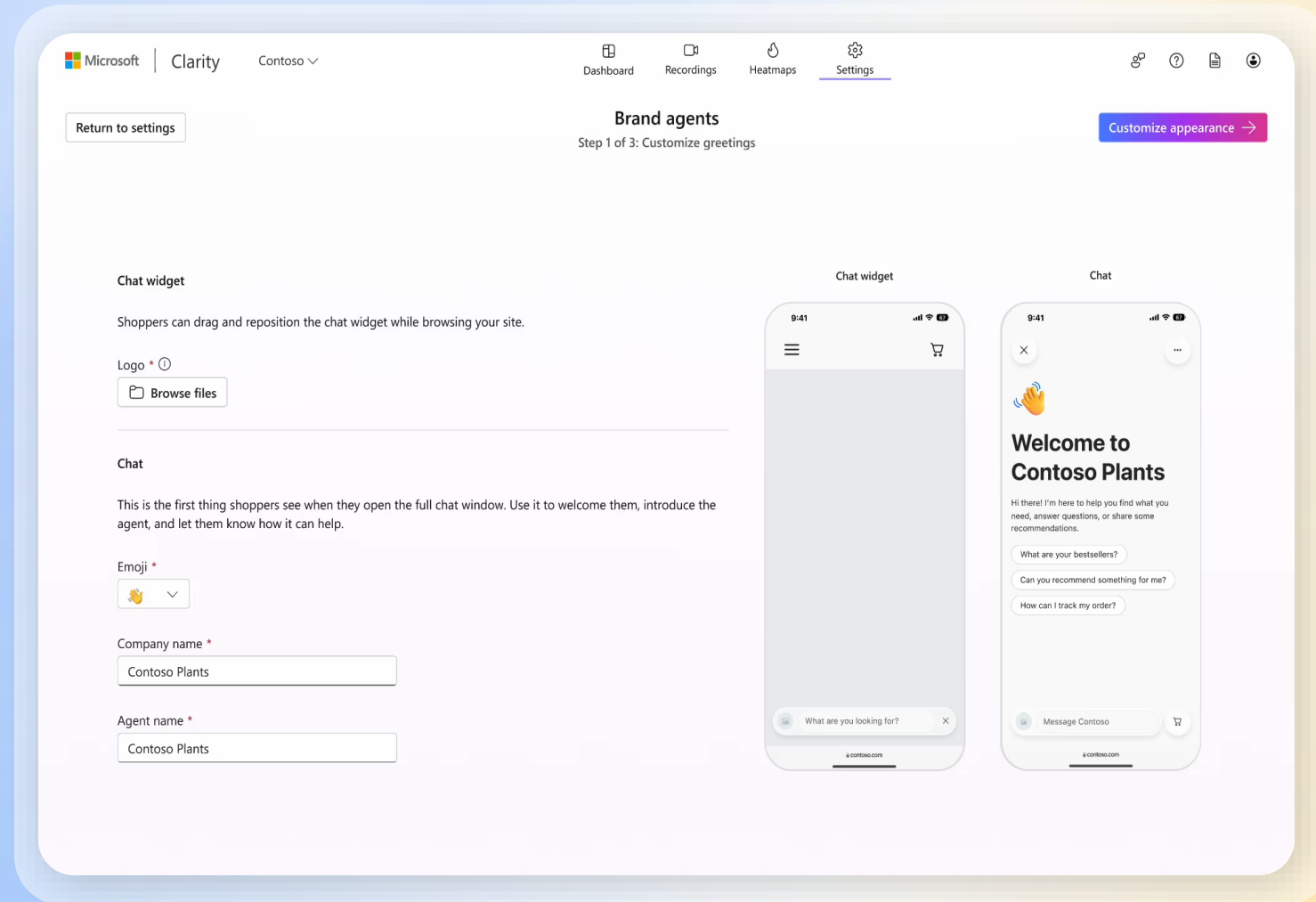
You can see a live preview of the agent—exactly how it will appear on your site.

Rollout Controls

choose what percentage of your audience sees the agent—perfect for A/B testing or gradual rollouts before making it fully available.

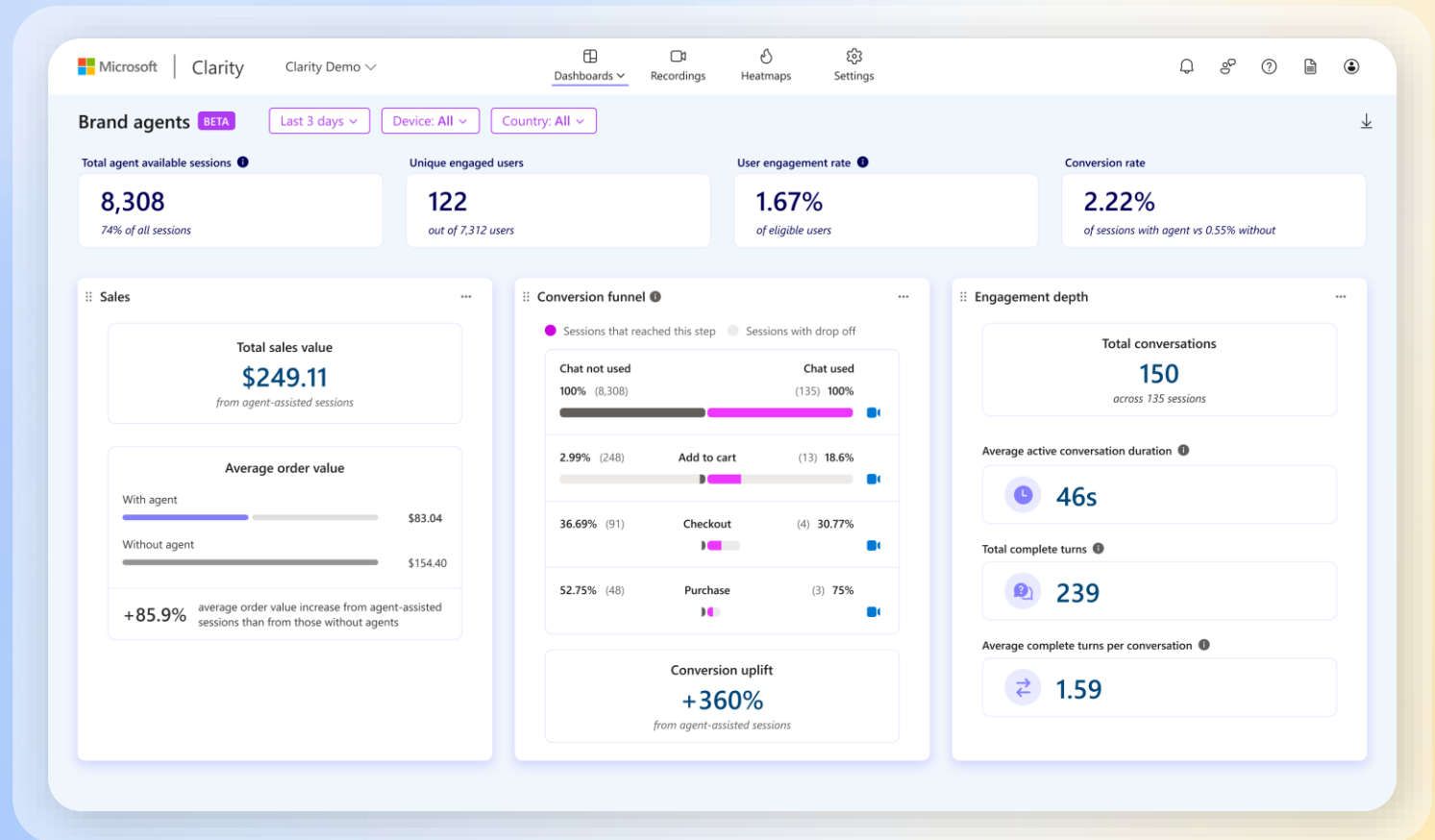
Enriched with knowledge (Coming soon)

Upload and manage your own reference materials so the agent incorporates your expertise.

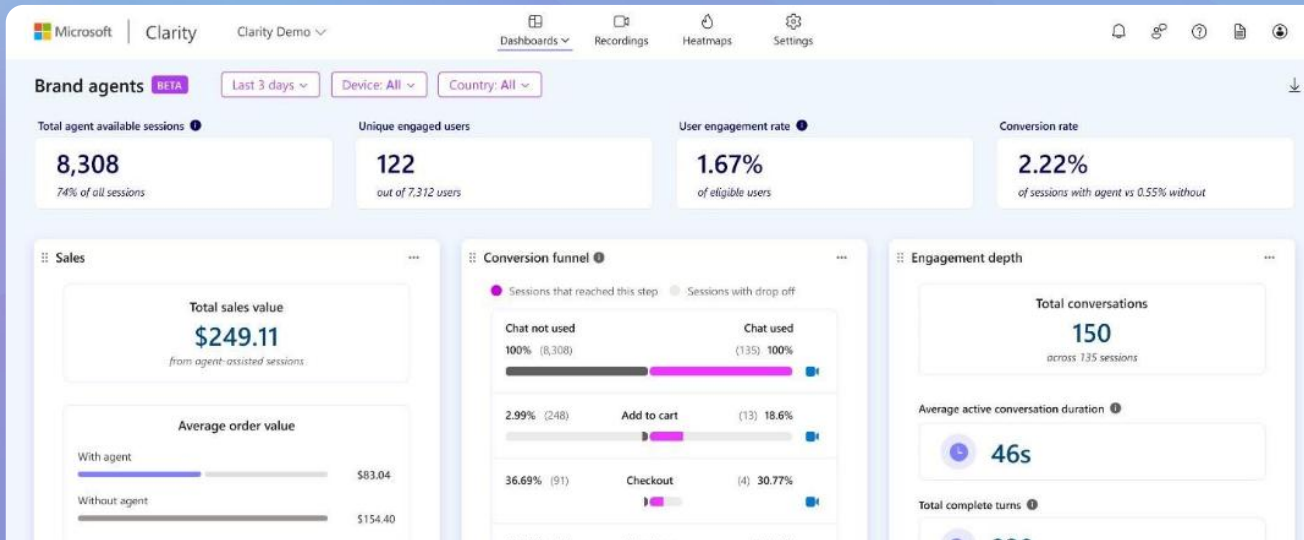


Insights & Measurement

With Microsoft Clarity, merchants can track engagement and conversion uplift, all surfaced in a dashboard that helps optimise strategy.



Brand Agents



Key benefits to brands



Faster setup

Go live in days, not quarters. No heavy IT lift needed and no overhead cost or additional investment to use AI.



Enterprise trust

Built on Microsoft's secure cloud with privacy and compliance at the core.



Actionable insights

Microsoft Clarity tracks engagement and conversion uplift, all surfaced in a dashboard that helps optimize strategy.



Smarter with every session

Persistent context and learning deliver ever-smarter recommendations and proactive guidance, unlike static chatbots.



Trained on your brand

Trained on your full product catalog, brand voice, and unique selling points. Every conversation is distinctively yours, never generic.

3X

Higher conversion rates in
Brand Agent assisted sessions
vs. unassisted sessions

Source: Alexander Del Rossa internal data, over a 30-day period, November 2025



Copilot Checkout

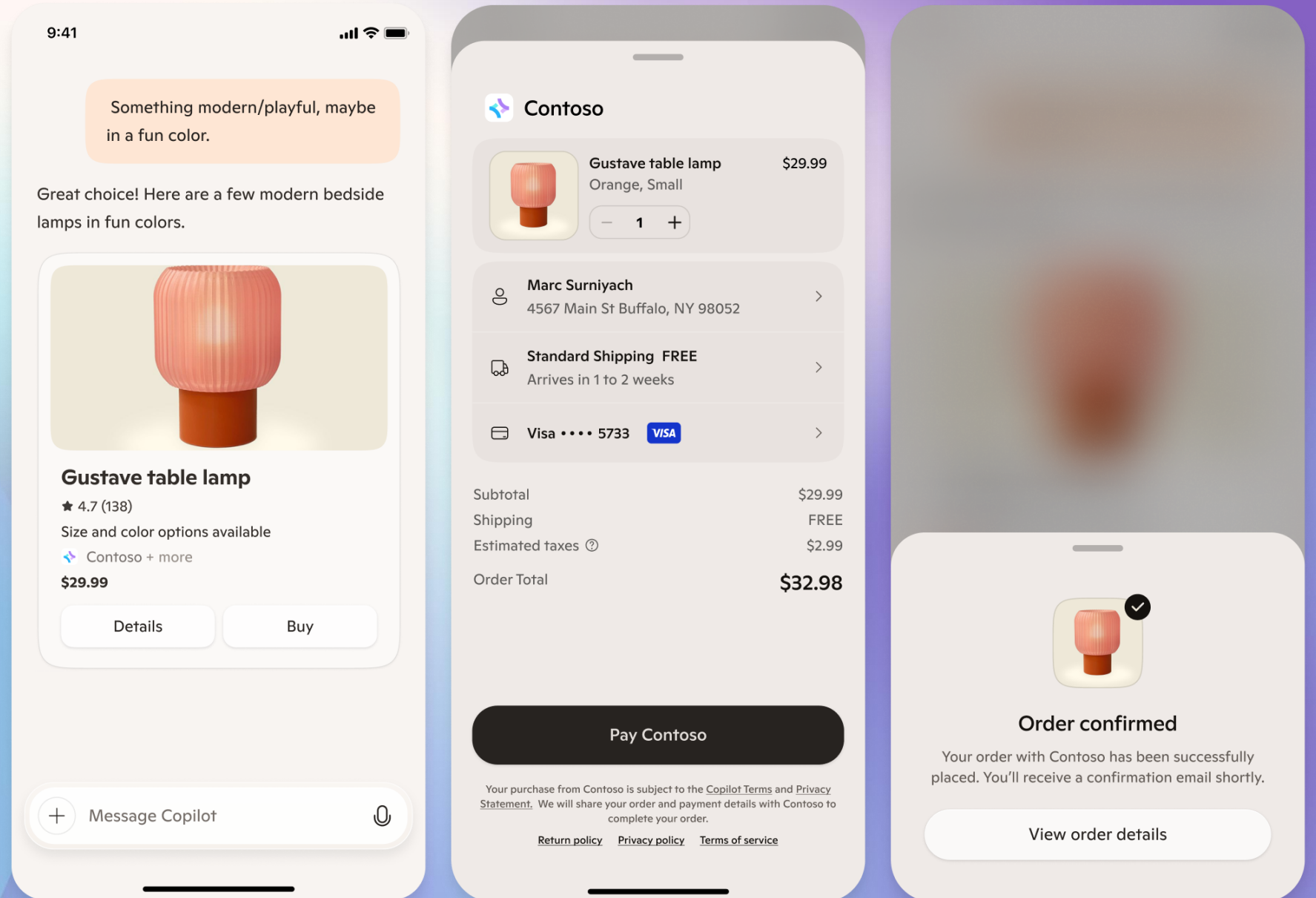
Once AI helps a user decide, it must be able to complete the transaction without friction.



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Copilot Checkout Conversations that convert

Turn inspiration into action. Frictionless flows with no redirects - checkout where customers are deciding.





Conversations that convert



Turn inspiration into action.
Frictionless flows with no
redirects - checkout where
customers are deciding.

Built on trusted commerce infrastructure

We meet you where you are - adopting industry protocols such as UCP and ACP and integrating with existing infrastructure for secure transactions at scale.

stripe



shopify

PayPal

Merchant-forward by design



With one integration, we open the door for our sellers to show up across new surfaces without extra work. It's a straightforward way to connect their creativity to high-intent buyers...

Rafe Colburn

Chief Product and Technology Officer

Etsy



Ads in Copilot

Once intent and trust exist, commercial options can appear as assistance, not interruption.



Ads in Copilot reach your audience

Text ads

What are the top sushi restaurants near me? I'm looking for something authentic

Here are some top sushi restaurants in Austin that offer authentic and delicious experiences:

- 1. Uchi Austin:** Founded by James Beard Award-winning Chef Tyson Cole, Uchi offers non-traditional Japanese cuisine with signature tastings, sushi, and seasonal omakase. It's known for its elevated food and impeccable service.
- 2. Lucky Robot:** This is the first sustainable sushi restaurant in Texas, recognized by the James Beard Foundation's Smart Catch Program. They source their ingredients from local farms and cooperatives, ensuring high environmental and sustainability standards.
- 3. Uchiko Austin:** Originating from the famed Uchi restaurant, Uchiko specializes in upscale sushi, cool tastings, omakase, and small plates in a farmhouse-chic space. It's another creation by Chef Tyson Cole.

These spots should give you a great start on your sushi adventure in Austin! Do any of these sound like what you're looking for?

 Microsoft Advertising

If you want to ensure you get a table at your preferred time, you might want to book a table beforehand. Here's a link from Contoso to help you book your place in top Austin sushi restaurants.

Sponsored ---

Book Now on Contoso and Secure Your Spot at Austin's Top Sushi Restaurants.

 Reserve with Contoso on Top Sushi Restaurants
Contoso.com



 + Message Copilot 

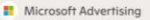
Feed-based ads

I'm attending a party next April and the dress code is "elegant early 2000s", what do you think I could dress like?

Alright, let's channel that early 2000s chic. Think of timeless icons like Gwyneth Paltrow and Kate Moss. Here's the vibe:

- **Dresses:** Go for a slip dress with delicate straps or a sleek halter-neck dress. Satin or silk fabrics are perfect for that era's elegance.
- **Shoes:** Strappy heels or delicate sandals to keep it classy and stylish.
- **Accessories:** Small shoulder bags, chokers, and minimalistic jewelry to complement the look. Maybe even a touch of glitter on the eyes for that subtle glam.

You're going to nail it. Ready to strut down memory lane?

 Microsoft Advertising

Here are some inspiring picks for an early 2000s party look in spring. Depending on what you're looking for you can go for colorful and airy, or maybe you prefer a two-piece suit that's more formal.

Sponsored ---

				
Satin Kimono Midi Dress \$119.97 \$154 Contoso.com	Black and White Midi Dress Angel... \$87 Fabrikam	Halter Tie Neck Midi Dress in Pleat \$122.99 Contoso.com	Muse Dropped Hem Mini Dress \$155.97 Contoso.com	Classic Wo \$176.50 Fabrikam

 + Message Copilot 

Multimedia ads

What vacation rentals would you recommend in Leavenworth?

Leavenworth is such a charming place, like stepping right into Bavaria! Here are a few vacation rentals to consider:

- 1. Icicle Village Resort:** A great spot with a nice balance of comfort and amenities. Perfect for families or couples.
- 2. Sleeping Lady Mountain Resort:** If you're into eco-friendly stays and a more rustic vibe, this place has cozy cabins and beautiful scenery.
- 3. Pine River Ranch:** Offers a more romantic and secluded setting, ideal for couples looking for a quiet getaway.
- 4. Haus Hanika:** Right on the river and only a short walk to downtown. It has that authentic Bavarian feel.

Each of these places has its own charm and appeal, depending on what kind of experience you're after. How does that sound?

 Microsoft Advertising

Contoso.com may be worth considering: with its unique rentals, easy booking, and verified reviews, you're sure to find the perfect stay in the charming Bavarian village of Leavenworth. Discover your ideal getaway today.

Sponsored ---

Book your Hotel in Leavenworth WA online with no reservation costs. Benefit from great rates.

 Leavenworth Vacation Rentals | Book with Contoso
<https://www.contoso.com> 

 + Message Copilot 

Thank you



What Changes When AI Does the Heavily Lifting?

From Discovery to Delegation

- AI-powered recommendations
- Conversational search
- Personalized product feeds
- Generative Engine Optimization (GEO)

From Comparison to Recommendation

- Brand agents
- AI product comparison

From Checkout to Execution

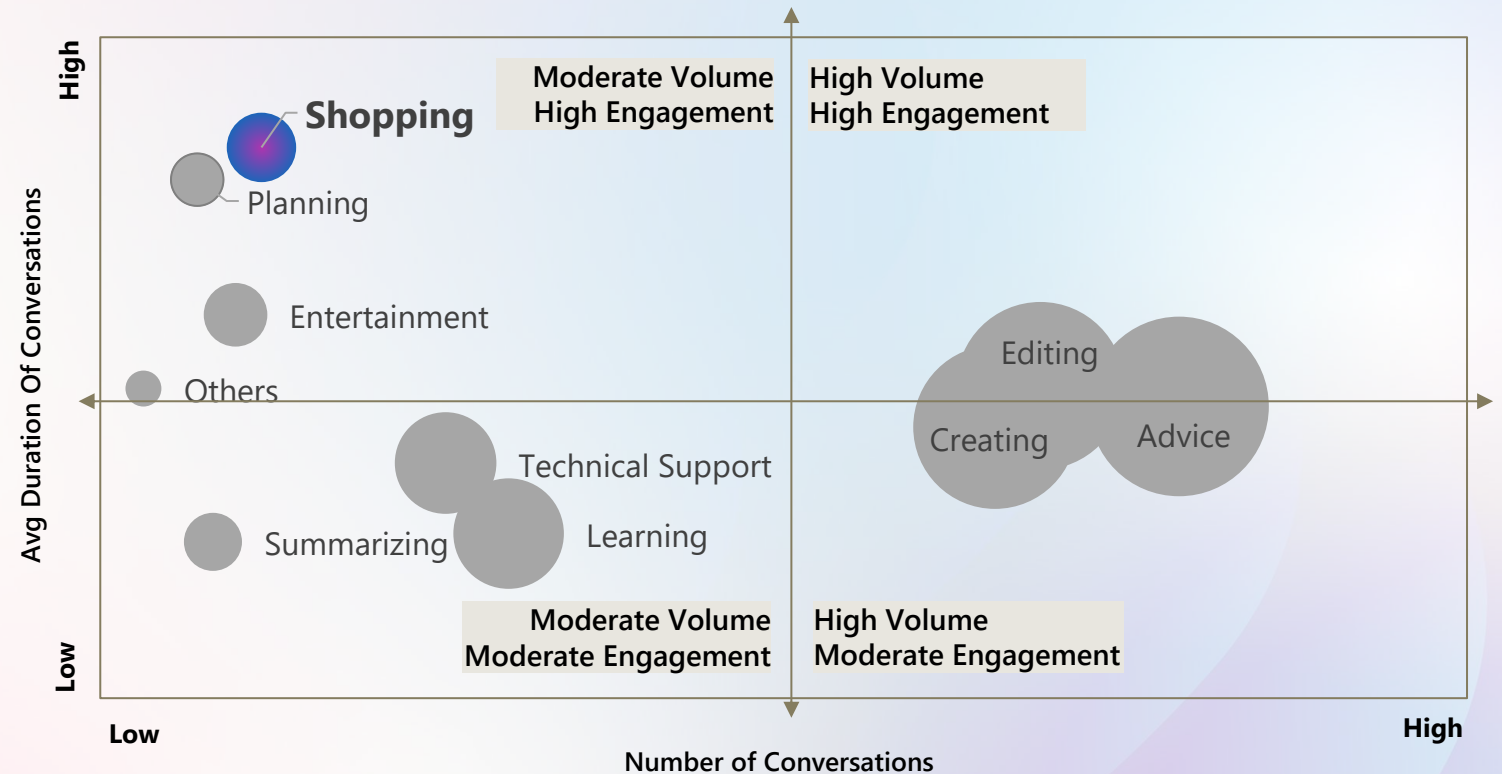
- In conversation commerce
- Copilot Checkout
- Autonomous transactions

From Support to Stewardship

- Agentic support
- Proactive reordering
- Personalized rewards

Shopping in Copilot drives higher engagement

User engagement: Conversation duration vs. volume¹

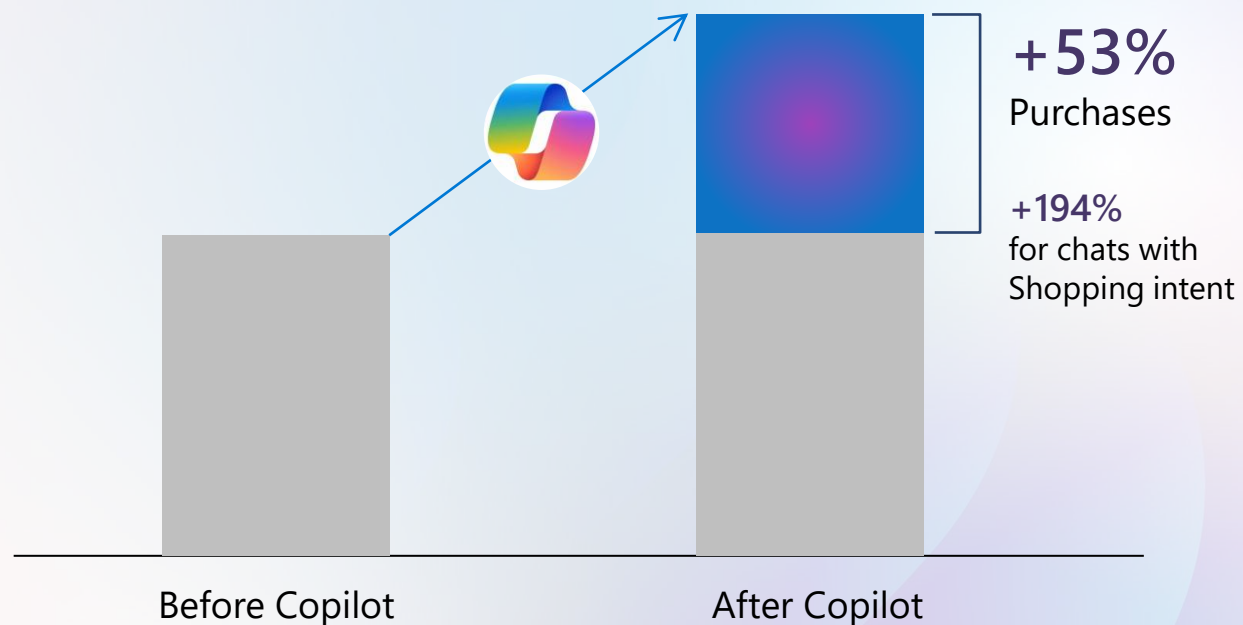


Microsoft 1P Data | 16th Aug 2025 – 24th Aug 2025 | Global

Note: Data shown for the following 12 countries by conversation volume: US, IN, JP, BR, DE, FR, GB, IT, CA, ES, NL, MX.

Purchasing behaviors increase after a Copilot interaction

User purchase action¹ before and after a Copilot interaction



Microsoft 1P Data | Dec 21, 2024 to Dec 31, 2024 | Global | Edge users | 30 minutes before and after Copilot interaction
1. Measured based on assumed purchases from URL address